

Peace deal is not a game changer

- **Key changes:** The announcement of a new ceasefire deal between the US and Iran came earlier than we anticipated, causing oil and gas prices to fall. Assuming the deal proves durable, this means that inflation will rise by less than we thought in H2 2026 and 2027. In response, we've lowered our inflation forecast for 2027 to 0.7% from 0.8. For 2026, we still expect an average inflation rate of 0.6% despite the lower inflation outlook for H2.
- **Short-term forecast:** We think the boost from the ceasefire deal will be limited, and we've left our GDP growth forecasts unchanged at 0.8% for 2026 and 1.4% for 2027, adjusted for sporting events. Though recent market moves point to some positive risks for our GDP growth forecast, the fallout from the US-Israel war with Iran will still weigh on growth in the near term, mainly via weak foreign demand and uncertainty. While most sectors are suffering due to the war, some Switzerland-specific parts of the economy are benefiting from increased business activity, such as commodity trading and wealth management.
- **What to watch out for:** The speed at which traffic through the Strait of Hormuz approaches pre-war levels will be key to our short-term forecast. This will dictate the outlook for oil and gas prices and, by extension, how much household finances and global trade are squeezed. Tariffs will remain a major source of risk. The current legal basis for the 10% US tariffs expires on 24 July. The Federal Council hopes to reach an official trade agreement with the US soon; otherwise, new punitive measures could follow.

Table 1: Switzerland forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP (sport event adjusted data)	1.2	1.2	1.5	0.8	1.4	1.9
Private consumption	1.4	2.4	1.5	1.0	1.4	1.8
Government consumption	2.2	0.4	-0.7	0.1	1.2	2.2
Fixed investment	1.4	1.3	0.4	1.1	0.4	0.9
Exports of goods and services	-2.6	4.0	2.1	1.6	0.8	2.5
Consumer prices	2.1	1.1	0.2	0.6	0.7	0.8
Unemployment rate (%)	2.0	2.4	2.8	3.1	3.2	3.1
Central bank policy rate (% EOP)	1.8	0.5	0.0	0.0	0.0	0.5
10yr govt. bond yield (% EOP)	0.7	0.3	0.3	0.4	0.6	1.2
Exchange rate (CHF per US\$, EOP)	0.8	0.9	0.8	0.8	0.8	0.8
Exchange rate (CHF per euro, EOP)	0.9	0.9	0.9	0.9	0.9	0.9
Government balance (% of GDP)	0.31	0.53	0.46	0.06	0.03	0.02
Gross government debt (% of GDP)	25.1	24.7	23.8	23.3	23.0	22.4

Source: Oxford Economics

Baseline forecast

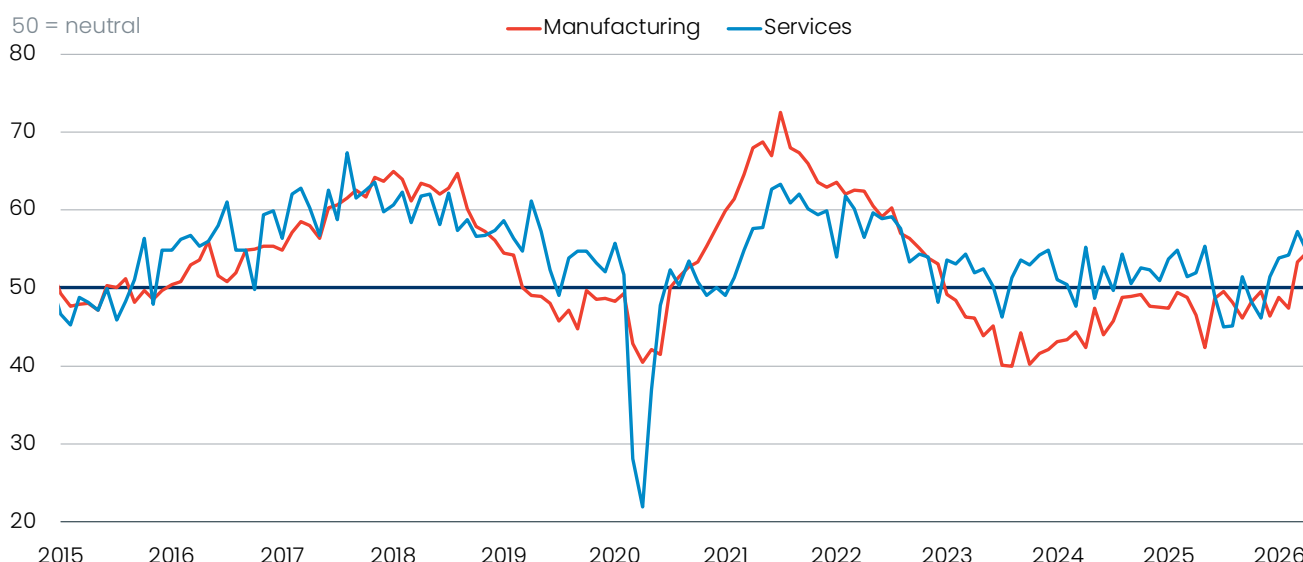
Recent developments

Sporting event-adjusted GDP grew by 0.4% q/q in Q1, as expected, after 0.2% growth in the previous quarter. The industrial sector was a key driver of growth. Service-sector growth was subdued, with varied results across segments. Domestic final demand was weak.

We expect subdued GDP growth of around 0.3% q/q in Q2 and 0.2% in Q3. While the economy remains fragile, recent indicators and the ceasefire deal between the US and Iran point to some upside risks. Manufacturing PMI continued its upward trajectory in May, rising by 2.8pts to 57.3, the highest level in more than three years ([Chart 1](#)). Even though output and the backlog of orders have improved, the manufacturing PMI has unusually high purchase prices, at 82pts, and suppliers' delivery times, at 65pts. Normally, improvements in these components indicate higher demand, but the high values are due to negative factors such as high energy prices and supply-chain disruptions because of the closure of the Strait of Hormuz.

Chart 1: The PMI points to an improved services sector

Switzerland: PMI surveys



Sources: Oxford Economics, Haver Analytics

Short-term forecast

Given the surging geopolitical risks and the hit to external demand from the Iran war, we expect GDP growth of 0.8% this year. We anticipate economic growth to gradually pick up to 1.4% through 2027 as the global shock from the Iran war recedes, though the recovery will remain more muted than our pre-war baseline projected.

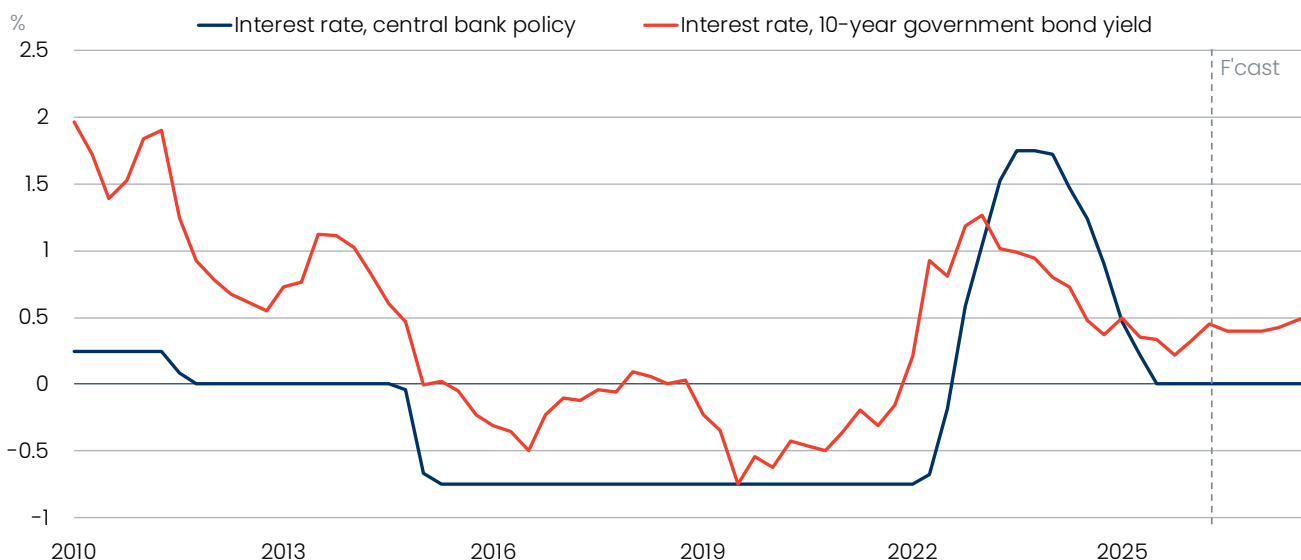
Policy assumptions

Fiscal policy. Over the next three years, it'll be tightened through the federal government's planned consolidation measures under the so-called 2027 relief package. However, the dampening effect on government consumption and investment will be limited. The National Council and the Council of States reduced several of the proposed cuts, and not all planned measures will have a direct impact on GDP-relevant components. Meanwhile, other expenditure components like military spending will increase significantly in the coming years.

Monetary policy. Because our baseline forecast has global oil and gas prices peaking in Q2, we see no need for further action from the Swiss National Bank. The higher, but still modest, inflation outlook also helps contain disinflationary pressures and the potential need for negative interest rates. The two rate hikes expected from the European Central Bank in June and July should help ease upward pressure on the Swiss franc and the need for currency interventions. We still expect the currency to average around CHF0.93/EUR in 2027 ([Chart 2](#)).

Chart 2: No policy rate changes until 2027

Switzerland: Central bank policy and government bond yield



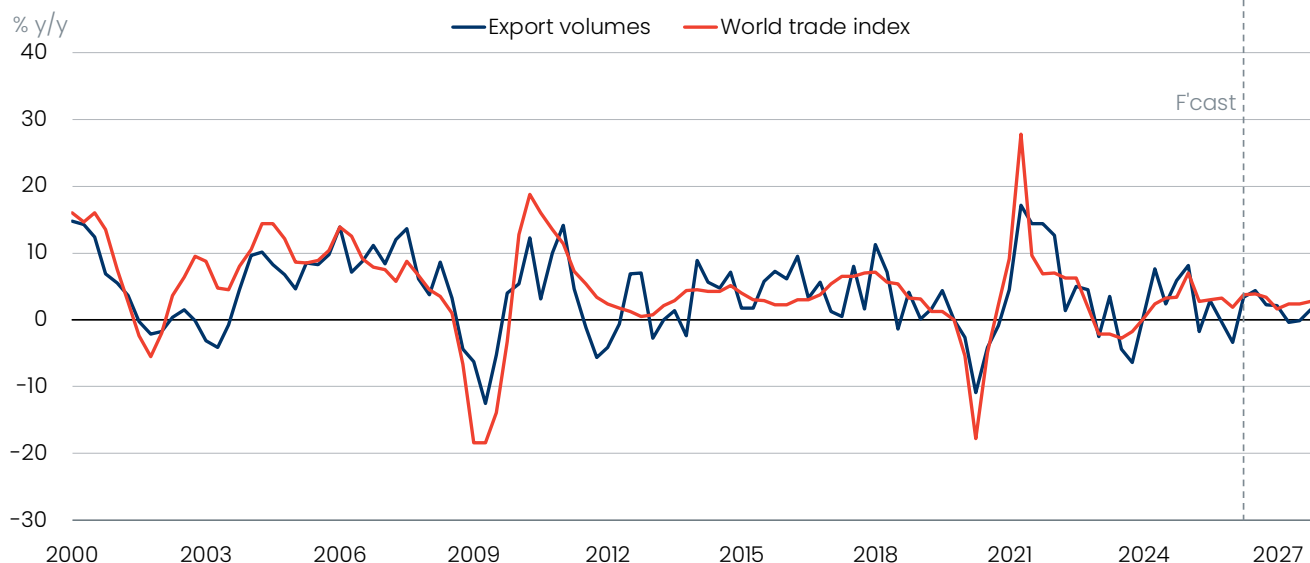
Sources: Oxford Economics, Haver Analytics

Key drivers of short-term forecast

The US-Israel war with Iran is putting pressure on Swiss exporters. The war is affecting global incentives to invest in and buy Swiss goods. Swiss exports of investment and consumption goods will likely stay soft throughout 2026. Domestic business investment is under pressure from elevated uncertainty and the trade deal's commitment to invest US\$200bn in the US by 2030. Pharmaceutical production will lose some momentum as the front-loading of exports ahead of potential tariffs reverses. Nevertheless, pharmaceutical exports will remain robust ([Chart 3](#)).

Chart 3: Exports remain under pressure from geopolitical tensions.

Switzerland: Export volumes and world trade

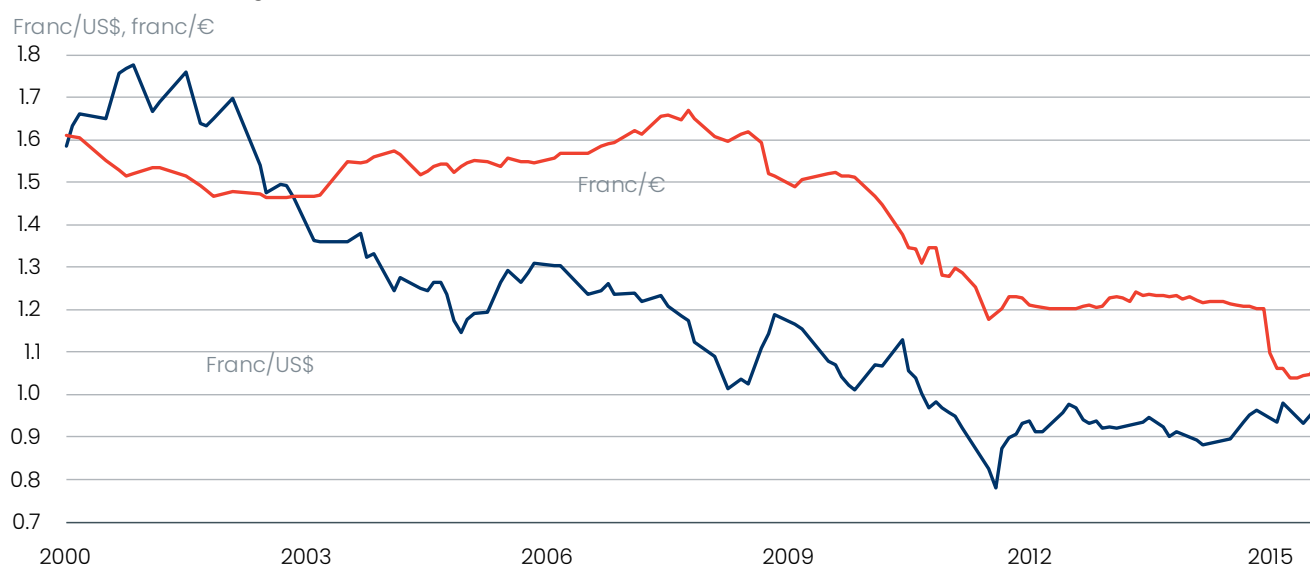


Sources: Oxford Economics, Haver Analytics

Ongoing Swiss franc strength. Elevated political uncertainty has led to renewed upward pressure on the Swiss franc, especially against the US dollar. From April 2025 to mid-June 2026, the franc appreciated by around 18% against the US dollar and more than 3% against the euro ([Chart 4](#)). In our baseline scenario, we expect the Swiss National Bank to counter the upward pressure on the franc through currency intervention, limiting the upside in the euro/franc exchange rate. But we see limited scope for depreciation given the strong appeal of safe-haven currencies like the franc. Against this backdrop, we anticipate the currency to stabilise within a range of CHF0.90/EUR–CHF0.95/EUR, with our baseline being CHF0.92/EUR for 2026.

Chart 4: The Swiss franc remains strong

Switzerland: Exchange rates



Sources: Oxford Economics, Haver Analytics

Weaker labour market. Economic weakness has led to an increase in unemployment. The unemployment rate is currently around 3.1%, compared with the pre-pandemic level of 2% (**Chart 5**). Since economic growth is set to remain subdued, we anticipate the unemployment rate will be around 3.2% at end-2026 and remain at that level through 2027. However, the labour market weakening should be moderate enough not to fundamentally affect private consumption.

Chart 5: The unemployment rate rises by 0.1ppt until the end of 2026

Switzerland: Unemployment

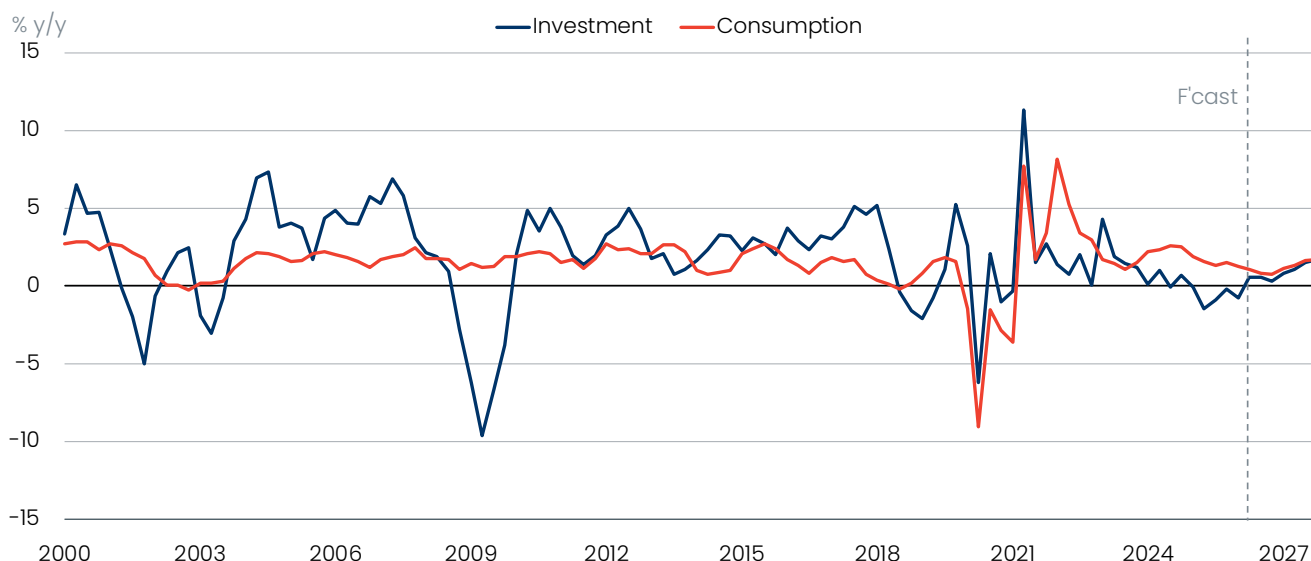


Sources: Oxford Economics, Haver Analytics

Solid private consumption. Private consumption benefits from solid stabilisers, such as somewhat muted but ongoing strong immigration (**Chart 6**). Higher oil and fuel prices are a threat, but the impact of rising rents will ease as the reference rate – the regulatory basis for existing rental contracts – fell twice during 2025. Additionally, the strong Swiss franc will lower the impact of higher import prices and reduce the pricing power of domestic producers. Moreover, we expect an ongoing decline in electricity prices of around 3% in 2026, despite elevated global energy prices, because they were agreed upon by regulators and power suppliers prior to the war. Because gas future prices are still much lower than spot prices, electricity providers should have enough room to avoid new contracts based on current prices.

Chart 6: Private consumption supports growth

Switzerland: Consumption and investment



Sources: Oxford Economics, Haver Analytics

Construction investment is gaining momentum. Construction investment will act as a stabilising factor in the coming months. New permits for flats have risen significantly over 2024–2025, driven by low interest rates and increasing housing shortages, with an extra boost from renovations as these tax deductions will be restricted from 2028 onwards. In the meantime, we expect some noticeable front-loading demand until 2028, but this will stimulate renovation investment and renovation prices.

Sporting event effect. The International Olympic Committee, FIFA, and UEFA are all located in Switzerland. Their revenues and the surge in activity and spending related to ticketing, licensing, and broadcasting for the Olympics, the World Cup, and the European Championship raise Swiss GDP growth by up to 0.4ppts in years with the Winter Olympics and World Cup. But this also results in a comparable drag on GDP growth the following year. That's why major sporting events are a recurring challenge for interpreting Swiss business cycle data, as they introduce distortions to Swiss GDP numbers that are easily misread. We recommend using our sporting event-adjusted GDP growth forecast for Switzerland.

What to watch out for

Memorandum of understanding with the US. Switzerland has signed a memorandum of understanding (MOU) with the US that reduced Switzerland's country-specific tariff to 15% from 39% at the beginning of 2026. Many Swiss companies welcomed the MOU with relief, but risks remain high.

Most importantly, the MOU is far from a legally binding agreement. The deal only compensates Switzerland for tariff-related competitive disadvantages against competitors from the EU. Moreover, it comes with high costs and stands on shaky ground. Switzerland has committed to invest US\$200bn in the US by 2030 and declared its intention to take measures to 'balance' trade with the US. It could be hard for the country to meet these conditions, even given significant investment from Swiss pharmaceutical firms and the possible relocation of gold refineries to the US. There's also a high risk that the US administration will simply increase the tariff again in the event of developments that it finds displeasing.

The Swiss pharma sector. The pharmaceutical industry is a key driver of growth for the Swiss economy. Approximately 40% of GDP growth over the past decade and 40% of goods exports can be attributed to the

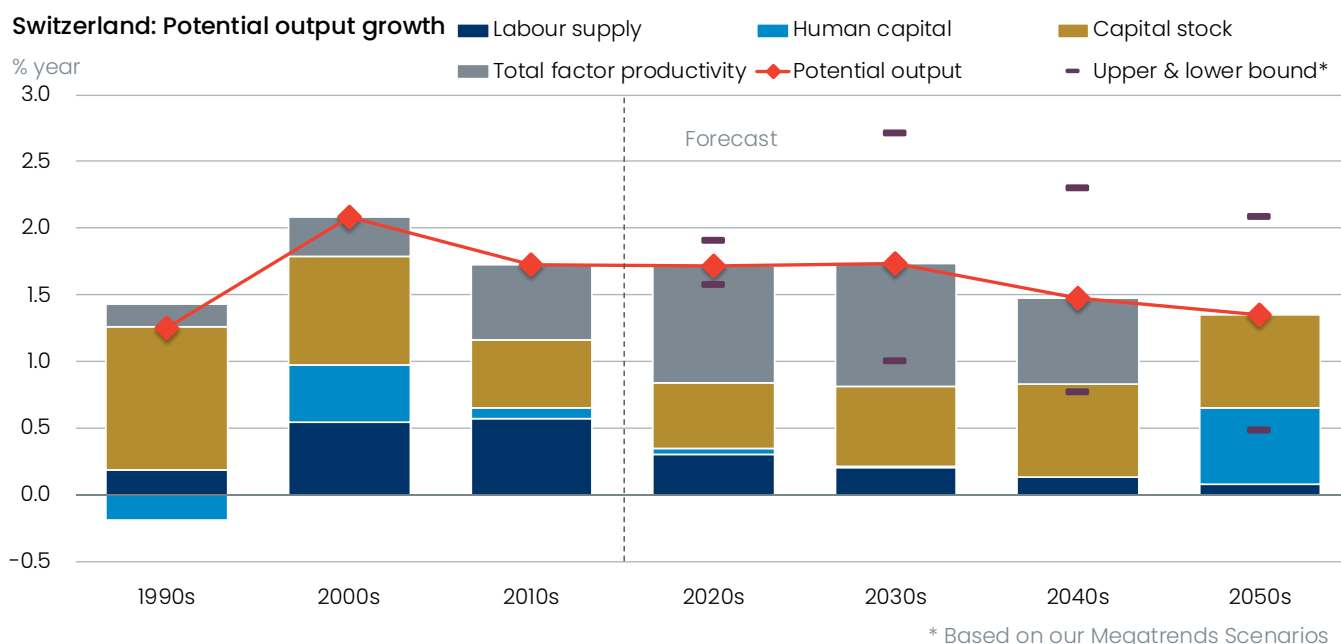
sector. Nearly a third of pharmaceutical exports are destined for the US, and US regulations have a significant impact on the industry globally. How the regulatory framework will evolve through US President Donald Trump's second term remains uncertain.

Although the US government doesn't appear to be imposing higher tariffs on pharmaceuticals, contrary to initial announcements, this doesn't mean the risks for the Swiss pharma sector have disappeared. It seems that the US government's focus is shifting from tariffs to cost-cutting agreements with pharmaceutical companies, which could result in narrower profit margins for Swiss firms and materially affect nominal GDP data. Furthermore, it could have long-term negative effects on companies' ability to innovate if the lack of funds to finance R&D expenditures in Switzerland can't be offset by other sources of income, such as higher prices in Europe.

Long-term prospects

We expect potential growth of 1.6% per annum in Switzerland over the next decade. Working-age population growth is set to weaken to 0.3% per annum, 0.3ppts lower than during the past decade. But this rate still represents one of the strongest projections among Western European countries ([Chart 7](#)).

Chart 7: Weaker labour supply will likely weigh on the potential growth rate



Sources: Oxford Economics, Haver Analytics

Given a slowing labour supply, medium-term growth will rely more on capital deepening and a pickup in productivity than during the past decade.

We expect capital stock to contribute around 0.5ppts per annum to potential growth over the next decade, with total-factor productivity growth averaging around 0.9% per year, about the same as the past 10 years. We see scope for improving productivity in the regulated parts of the domestic sector.

Another structural advantage, in addition to Switzerland's strong and innovative industrial base, is the public sector's healthy financial situation; because of this, we see no need for painful deleveraging. Moreover, we note a noticeable 'shift-share' effect, which also increases productivity.

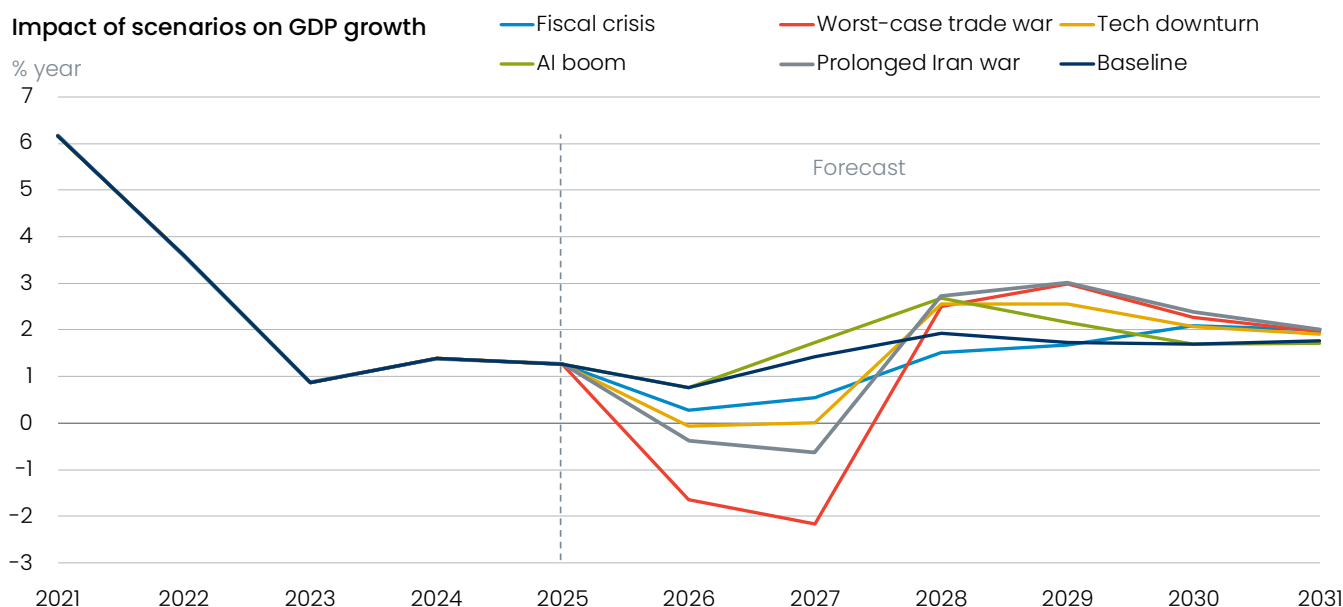
The innovative and already significant pharmaceutical sector is gaining importance for overall gross value added in Switzerland, and we expect some boost to productivity from AI.

Scenarios

Exposure to key global risks

Prolonged Iran war. In this scenario, war proves more prolonged than in our baseline forecast. A sustained stalemate leads to the Strait of Hormuz remaining effectively closed for six months. Alternative shipping routes also come under threat, while the extended conflict increases damage to energy infrastructure. As a result, energy prices remain elevated for an extended period. Energy shortages damage activity, with some household spending delayed due to energy shortages halting some travel and shipping activity. Supply-chain pressures outside the energy sector result in broader price and cost pressures. While inflation expectations remain relatively well-anchored, investors demand a higher inflation risk premium, causing borrowing costs to rise. Over the next three years, Switzerland's GDP growth would be 0.8ppts a year below our baseline forecast in this scenario ([Chart 8](#)).

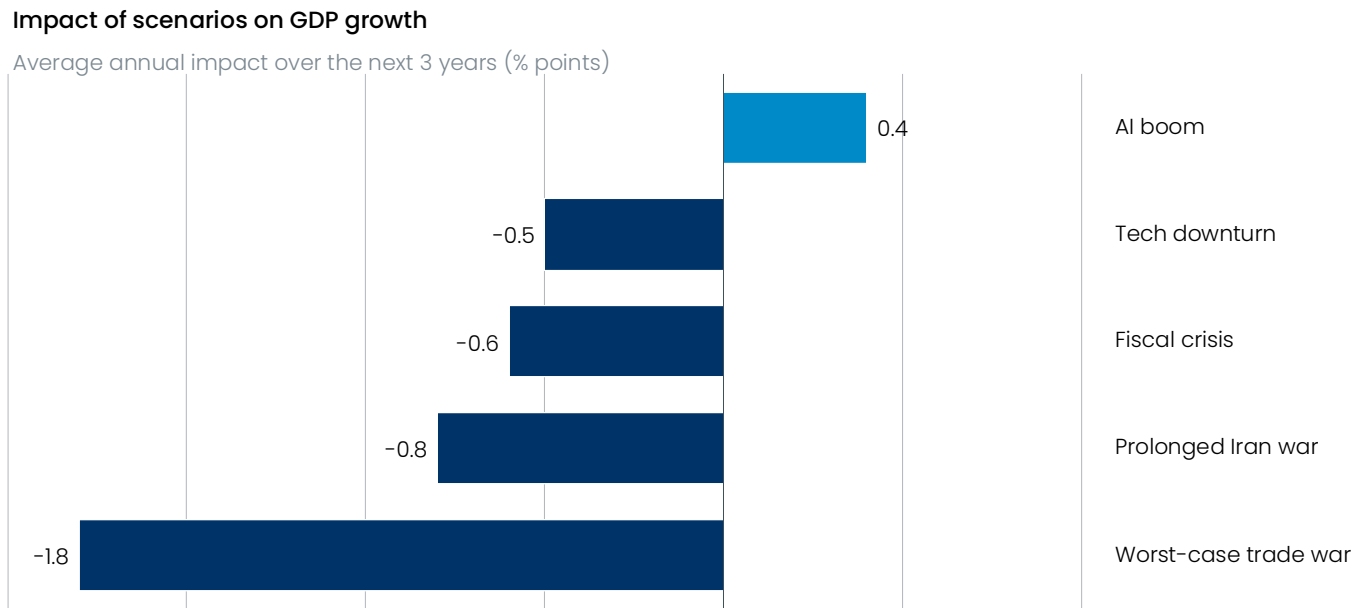
Chart 8: A prolonged Iran war and a tech downturn are key near-term risks



Source: Oxford Economics

Worst-case trade war. In this scenario, US trade deals prove fragile. The US removes key tariff exemptions and raises import tariffs beyond trade agreement levels. Overall, the US effective tariff rate rises to 33% in Q1, roughly double the level in the baseline. Affected economies hit back with corresponding tariffs on US exports. For Switzerland, this lowers average GDP growth over 2026–2028 by 1.8ppts ([Chart 9](#)).

Chart 9: Risks are skewed to the downside



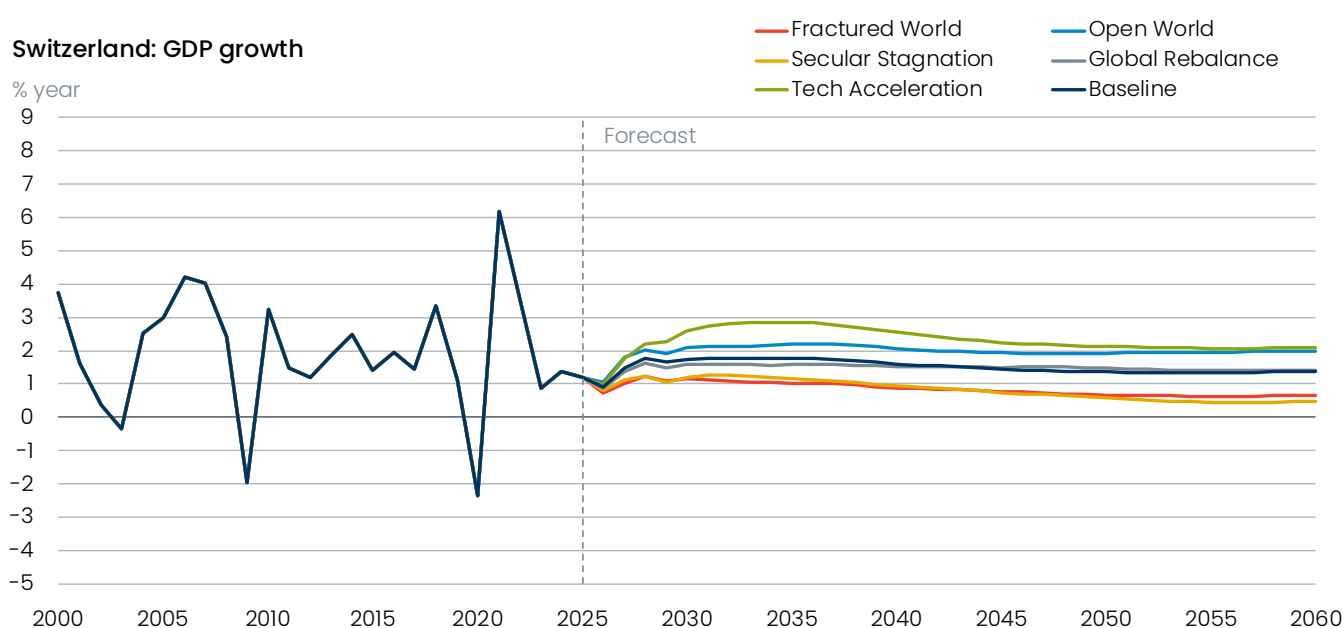
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological revolution. In this scenario, trade and geopolitical tensions ease. This boosts globalisation, creating greater technology flows. Technological advancements are also supported by higher investment and research and development spending, fostered by a more stable business environment. Sustained real wage growth increases labour market participation. Productivity and labour force growth are stronger, resulting in GDP growing by 1ppt a year more than in our baseline forecast over 2030–2060. Nominal and real interest rates would also be higher.

Chart 10: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound impacts on potential output, while poor productivity limits real wage growth and labour participation. Switzerland's GDP grows 0.7ppts below our baseline each year, coupled with lower real rates.

Economic risk

Economic risk evaluation

Table 2: DESCRIPTION

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	2.3	0.0	3
Market demand	3.0	0.0	7
Market cost	2.0	0.0	4
Exchange rate	3.5	-0.1	77
Sovereign credit	2.0	-0.1	2
Trade credit	1.0	0.0	1

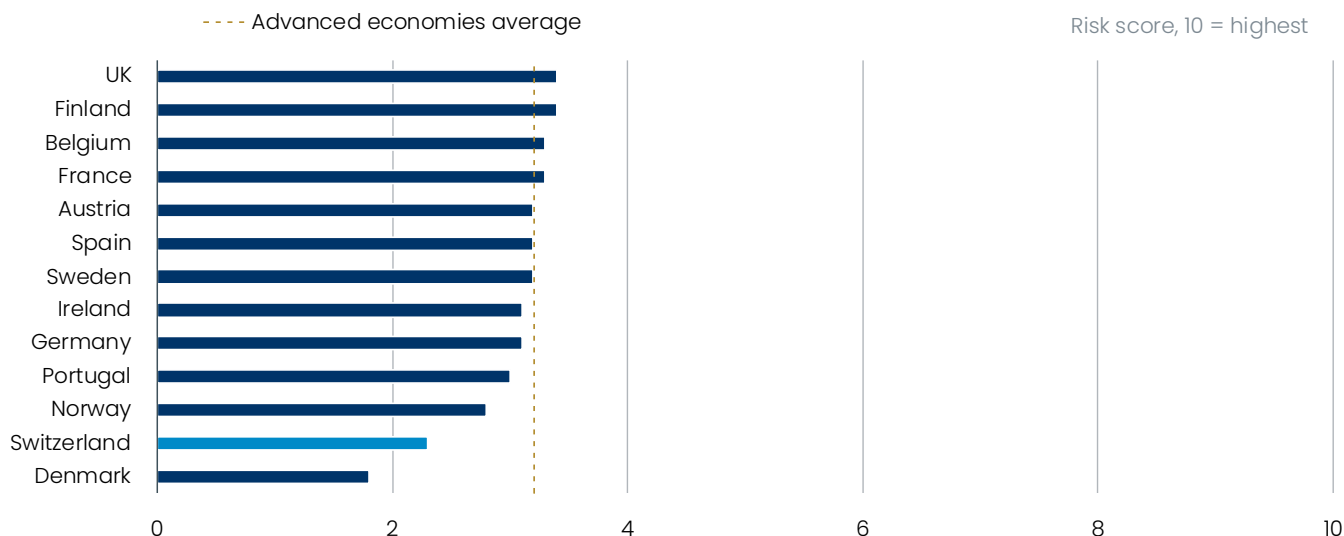
Source: Oxford Economics

Overall risk for Switzerland: 2.3/10*

Switzerland's overall economic risk score of 2.3 is low, ranking it third out of 164 countries in our survey and well below the advanced economies average of 3.0 ([Chart 11](#)).

Chart 11: Switzerland has one of the lowest risk scores

Economic risk: Switzerland vs Advanced economies average



Source: Oxford Economics

Institutional strength, reasonable rates of economic growth, a large current account surplus, and the Swiss franc's status as a safe-haven currency underpin the score. The government debt-to-GDP ratio has declined since the end of the pandemic and is currently less than 30%, one of the lowest worldwide.

Market demand: 3.0/10

The market demand risk score of 3.0 is reasonably low and below the 3.4 average for advanced economies.

Inflation is much lower than in most other European countries and domestic demand also benefitted from ongoing high net migration and population growth. The near-term outlook is still weak, but demand will likely pick up gradually once the current inflation pressure eases, sentiment recovers, and external demand improves.

Market cost: 2.0/10

The market cost risk score of 2.0 is low and below the advanced economies average of 2.7.

We think consumer price inflation will stay low by international standards, reflecting weak regional price pressures and the strong Swiss franc. Although Switzerland is considered an expensive location, the World Economic Forum ranks it the world's fifth-most competitive economy due to extremely high scores for labour market efficiency, including talent retention, business sophistication, and innovation, including academic excellence.

Exchange rate: 3.6/10

The exchange rate risk score is low at 3.6, slightly above the advanced economies average.

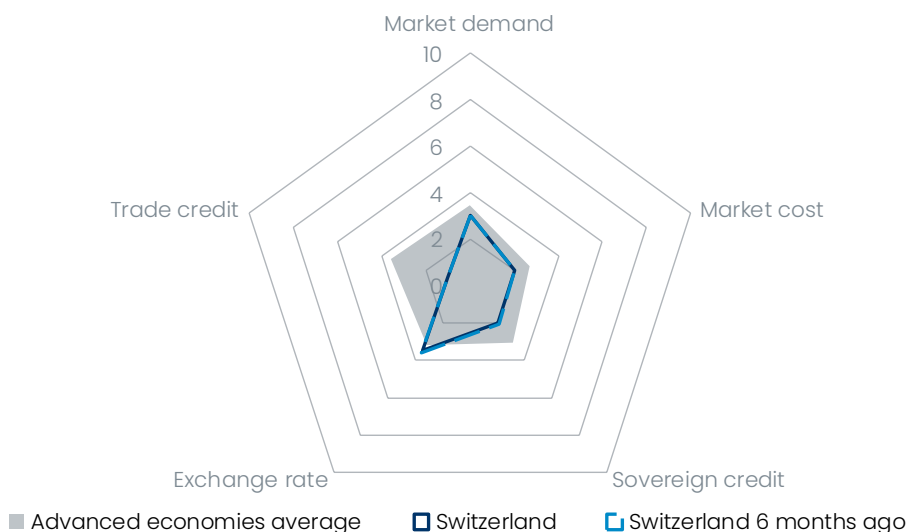
The Swiss franc is a safe-haven currency and has appreciated sharply in nominal terms in recent years. Compared with the euro, the currency has been trading below parity since the beginning of July 2022. In real terms, the appreciation is much less pronounced, as inflation differentials have increased in recent years. But given uncertainties following European elections, especially in France, the franc could appreciate.

Sovereign credit: 2.1/10

In our scoring system for sovereign credit risk, Switzerland benefits from having plenty of internal policy space because of a balanced budget, low government debt, and low inflation before the pandemic. But the substantial increase in the private-sector credit-to-GDP ratio since the global financial crisis exerts a slight drag on the score. The sharp move into a budget deficit during the pandemic has reversed, so the sovereign credit risk score is only 2.1, ranking Switzerland third out of 164 countries in our survey.

Chart 12: Switzerland scores comparatively well on all risk categories

Economic risk: Switzerland vs Advanced economies average



Sources: Oxford Economics, Haver Analytics

Trade credit: 1.0/10

The trade credit risk score – which captures the default risk of private-sector firms – is the lowest possible at 1.0.

Switzerland scores strongly on measures of business sophistication, innovation, and access to skilled labour, while firms' access to finance is supported by a well-developed financial sector. Businesses also benefit from a stable macroeconomic environment reinforced by the economy's resilience in the face of numerous shocks.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more.](#)